

IAS MAINS 2020

VALUE ADDITION

GS - I

GS - II

GS - III

GS - IV

12 QUESTIONS WITH MODEL ANSWERS

MODULE - 15

GS – I ... INDIAN SOCIETY

- 31 Today's global challenges, such as climate change, cybercrime, terrorism, inequalities require "collective responses by the global community". How far is the World geared up to face this reality? (250 Words)
- 32 Examine social and economic consequences of increasing inequalities with specific reference to India. (250 Words)
- 33 Right to "Minimum Decent Life" should become a threshold right for the citizens of India. Discuss. (250 Words)

GS – II ... SOCIAL JUSTICE AND GOVERNANCE

- 25 The theme of Union Budget 2020-21 is “Ease of Living”. Examine how the budgetary proposals tried to achieve the same with focus on Aspirational India, Economic Development and Caring Society. (250 Words)
- 26 “The rejuvenation of MSMEs is inevitable for inclusive growth”. Support the statement with valid reasons. List out various steps taken towards this end in Union Budget 2020-21. (150 Words)
- 27 “In healthcare sector, the focus of the Government is reducing out-of-pocket expenditure (OOPE) through financial risk protection initiatives, instead of focusing on creating capacities in secondary and tertiary healthcare”. Do you agree? Give reasoned arguments. (150 Words)

GS – III ... ECONOMIC DEVELOPMENT

25

What do you understand by Dividend Distribution Tax? Examine the impact of its abolition on small retail investors, promoters of companies and foreign investors.
(150 Words)

26

The deficits in Union Budgets do not reflect the reality in its true sense. Do you agree?
Give valid arguments. (150 Words)

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“The soul of an ordinary Indian lies with the Life Insurance Corporation of India (LIC)”. From this perspective, how do you view the Government’s decision to list and sell part of the stake in the LIC? Also examine the steps needed to achieve the Government target of disinvestment for 2020-21. (250 Words)

GS – IV ... ETHICS, INTEGRITY & APTITUDE

- 43 Explain the way innovation helps the public service delivery in various dimensions.
(250 Words)

- 44 Critically examine the ethical aspects of sin industries (150 Words)

- 45 How to strengthen moral values in independent regulators? (150 Words)



Learning Space

Today's global challenges, such as climate change, cybercrime, terrorism, inequalities require "collective responses by the global community". How far is the World geared up to face this reality? (250 Words)

Global challenges like climate change, cybercrime, terrorism, inequalities are affecting all nations in the world in large scale. Emerging new age challenges call for collective response.



GLOBAL READINESS TO FACE THE REALITY

1. CLIMATE CHANGE

- PARIS CLIMATE PACT
 - ✓ Withdrawal of major powers like USA is a set back
- Sustainable Development Goals by 2030
- Common But Differentiated Responsibilities under Kyoto Protocol

2. TERRORISM

- FATF acting against terror sponsoring states
- Christchurch call against terrorism
- RATS mechanism under Shanghai Cooperation Organization
But, curtailing the organized crime network through money laundering etc. that is basis for terrorism is still a major challenge.

3. CYBER CRIME

- Budapest Convention
 - ✓ Many countries including are is not signatories
- Absence of comprehensive collective action plan

4. INEQUALITIES

- Reducing inequalities is part of SDG by 2030
- But with growing protectionism and MNCs led geopolitics, stopping inequalities will be a long-term challenge

THE WAY AHEAD

New global platform based on consensus to establish stringent mandatory collective action plans on the emerging challenges is necessary. Monitoring and penalty based mechanism with support from global collective is the solution.



Examine social and economic consequences of increasing inequalities with specific reference to India. (250 Words)

As per Oxfam report 2019, India's top 10% holds 77.4% of total national wealth, while the top 1% holds 51.5% of the wealth. The bottom 60% holds only 4.8% of total nation's wealth. This is an indicator of adverse social and economic consequences.

SOCIAL AND ECONOMIC CONSEQUENCES

INEQUALITIES

SOCIAL CONSEQUENCES

- Produce social conflict among social groups.
✓ E.g.: Demands for reservations by Jats, Patel etc.
- Generate feeling of exclusion among religious minority groups.
- Capability deprivation of lower sections.
- Poverty and poor development indicators of IMR, MMR, malnutrition etc.
- Instigates ethnic movements demanding separate state.
- Increases crime rate.

ECONOMIC CONSEQUENCES

- Economic productivity of workforce reduces due to poor nutrition and health care.
- Absence of skilled workforce in job market.
- Low consumption demand and savings results in economic slowdown.
- Shift towards producing luxury goods than essential goods.
- Innovation and indigenous technological advancements get stagnated.

MEASURES TO DEAL WITH INEQUALITIES



CONCLUSION

India needs to stop further rise of inequalities to end extreme poverty and meet SDGs by 2030. It is time for India to embark on multi-sectoral reforms aiming at stopping inequalities.

Right to “Minimum Decent Life” should become a threshold right for the citizens of India. Discuss. (250 Words)

Right to minimum decent life is a part of basic rights that flow from basic needs such as physical security, subsistence etc. In the regime of rights-based governance approach, this rights as a threshold right becomes necessary.

NECESSITY OF RIGHT TO MINIMUM DECENT LIFE



STEPS TO REALISE THE RIGHT TO MINIMUM DECENT LIFE

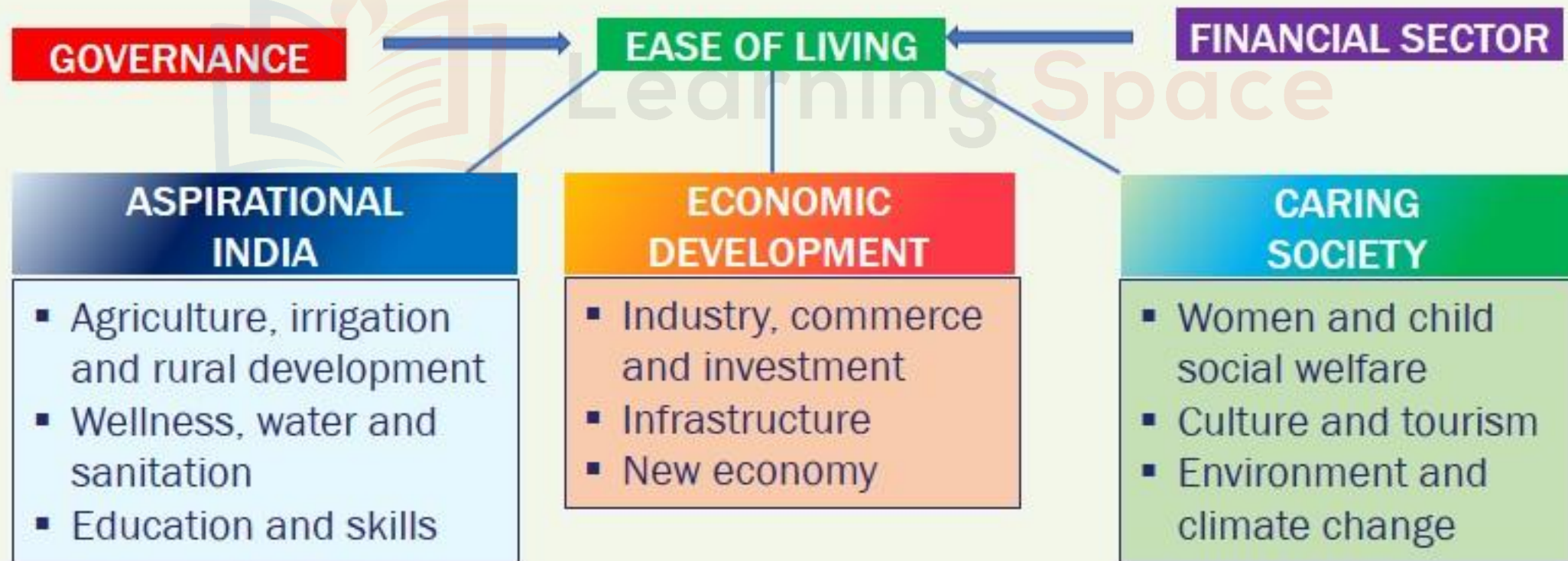
- Establishing robust doctrine of basic rights based on minimum decent life
- Ensuring penalty on Government for violation of right to decent life
- Increasing investments in meeting the basic needs of health, education, skills and opportunities
- Prioritizing participatory governance to realize benefits as their rights
- Making the right as the theme of democratic elections

THE WAY AHEAD

Credible threats to the right can be reduced by the Government by established institutions and practices that assist the vulnerable. State collaboration with civil society, NGOs in this regard is necessary.

The theme of Union Budget 2020-21 is “Ease of Living”. Examine how the budgetary proposals tried to achieve the same with focus on Aspirational India, Economic Development and Caring Society. (250 Words)

Budget 2020 proposed to ensure ease of living through government initiatives cutting across three broad themes of Aspirational India, Economic Development and Caring Society.



1. AGRICULTURE, IRRIGATION AND RURAL DEVELOPMENT

- PM KUSUM extension
 - ✓ Stand-alone solar power and additional source of income to farmers
- Viability gap funding for warehouses creation on PPP modes
- Dhanya Lakshmi
 - ✓ SHGs run village storage scheme
 - ✓ Integration of ENWR with ENAM
 - ✓ Kisan Rail and Krishi Udaan for seamless cold supply chain for perishables
 - ✓ Fishery extension through Sagar Mitras
 - ✓ Elimination of FMD and Brucellosis in cattle and PPR in sheep by 2025
 - ✓ Agriculture credit target of 15 lakh crore by 2021

2. WELLNESS, WATER AND SANITATION

- FIT India movement to fight NCDs
- TB Harega, Desh Jeetega Campaign launched to end TB by 2025
- Viability gap funding for hospitals in districts in PPP mode
- ODF plus to sustain ODF behaviour

3. EDUCATION AND SKILLS

- Internship under Urban Local Bodies
- Apprenticeship embedded courses under higher education institutions
- Degree level online programs



4. NEW ECONOMY

- Knowledge translation clusters for emerging technologies

5. INFRASTRUCTURE



6. CARING SOCIETY

- More than 6 lakh Anganwadi workers equipped with smart phones
- Task force to recommend regarding lowering MMR & improving nutrition levels

CONCLUSION

Budget 2020 struck the chord in ensuring welfare of citizens. Implementation of these initiatives in letter and spirit is necessary to ensure ease of living.

26 / SJG
GS - II

“The rejuvenation of MSMEs is inevitable for inclusive growth”. Support the statement with valid reasons. List out various steps taken towards this end in Union Budget 2020-21. (150 Words)

MSME forms the backbone of Indian economy including more than 90% of informal sectors. Its rejuvenation is needed for inclusive growth because

- It employs around 111 million people (MSME ministry).
- In volume terms, SME sector stands next to agriculture.
- It contributes more than 28% to GDP.
- Boosts labour intensive economy.

STEPS TO REJUVENATE IN BUDGET 2020

- Increase in customs duty on products like footwear, furniture etc. to protect MSMEs.
- Enable NBFCs to extend invoice financing to MSMEs through TReDS platform.
- RBI to consider extension of debt restructuring window for MSMEs till 2021.
- 1000 crore fund to be anchored by EXIM bank and SIDBI to extend support for technology upgradation, R&D for certain sectors.
- NIRVIK to enhance export credit disbursement.
- Raise threshold for audit from Rs. 1 crore to 5 crores
- ✓ Scheme to provide subordinated debt of MSME entrepreneurs.

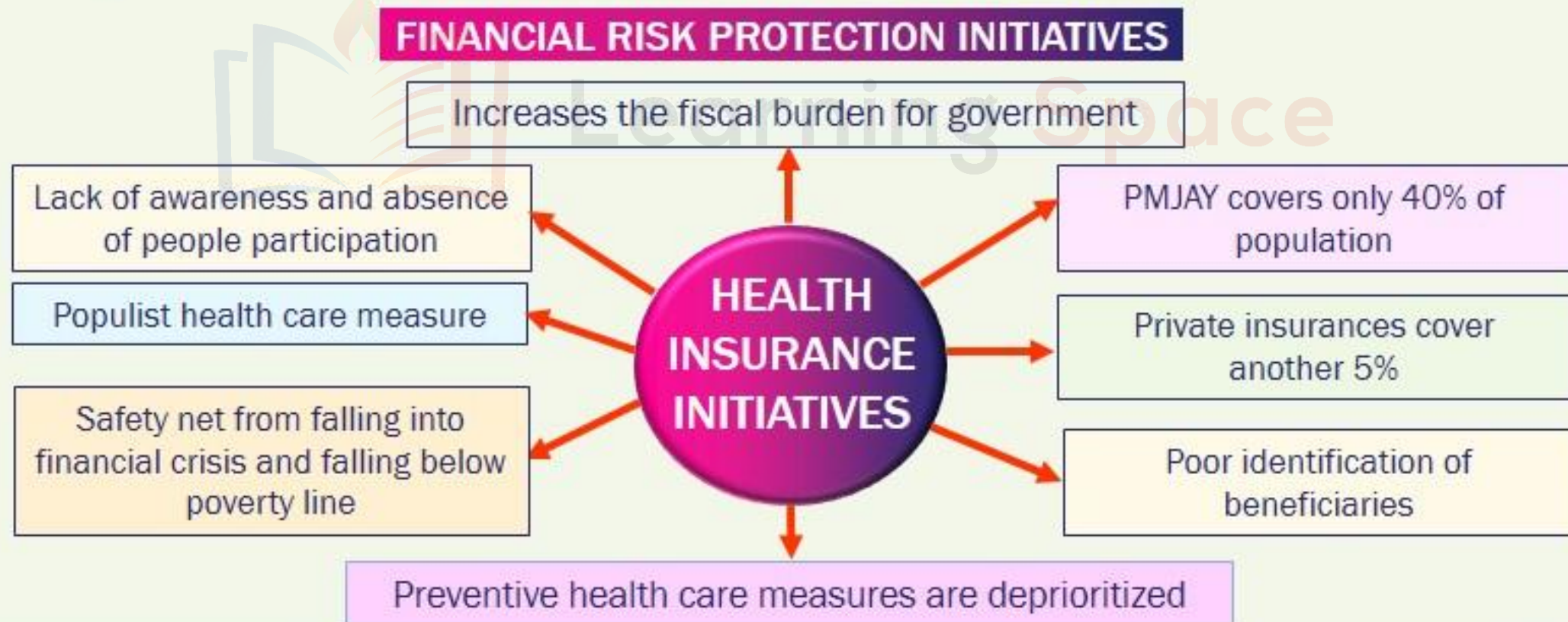
THE WAY FORWARD

With unemployment rate at an all-time high of 6.1%, it is an imperative to provide handholding support to MSMEs by ensuring quick disbursal of credit, clearances and removing existing bottle necks across the tax and other sectors.

27 / SJG
GS - II

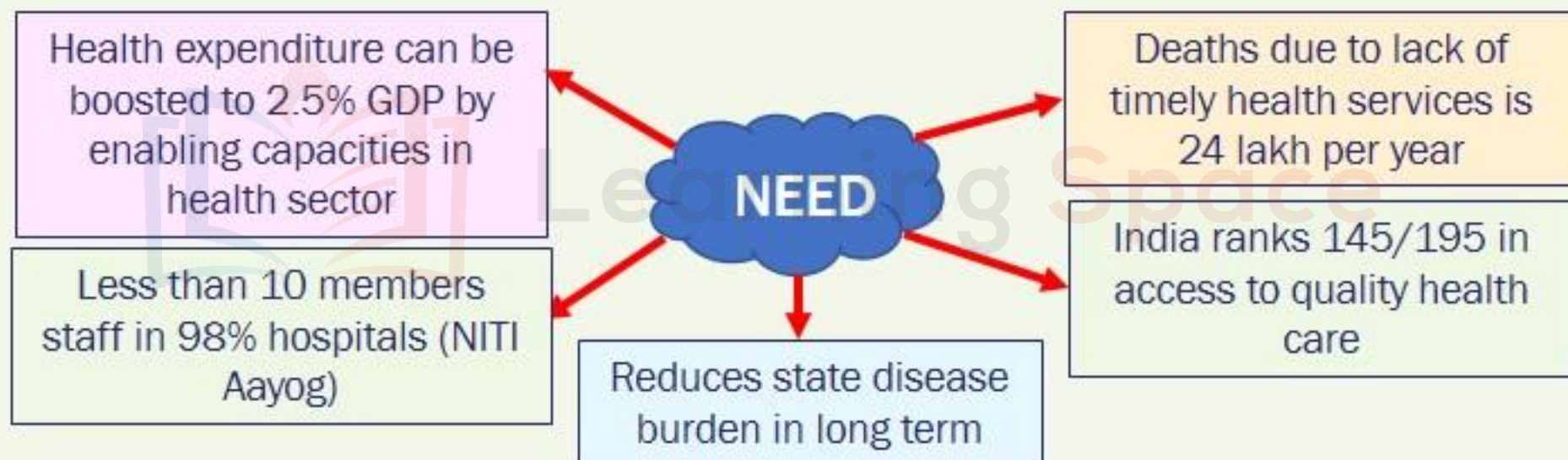
“In healthcare sector, the focus of the Government is reducing out-of-pocket expenditure (OOPE) through financial risk protection initiatives, instead of focusing on creating capacities in secondary and tertiary healthcare”. Do you agree? Give reasoned arguments. (150 Words)

As per Parliamentary Committee report, India's average out of pocket expenditure is 63% while the world average is 18%. Reducing OOPE needs institutional measures that prevents incidence of disease than a financial risk coverage.



NEED TO FOCUS ON CREATING CAPACITIES IN SECONDARY AND TERTIARY HEALTH CARE

- OOP expenditure should be reduced by providing affordable quality health care.
- Preventive measures starting at primary health care need support from secondary and tertiary health care.



CONCLUSION

Budget 2020's proposal to build district hospitals through viability gap funding in PPP mode is a welcome step. Government focus should be on prioritizing institutional capabilities that protect lives than on financial risk protection that secures individuals from financial crisis.

25 / ED
GS - III

What do you understand by Dividend Distribution Tax? Examine the impact of its abolition on small retail investors, promoters of companies and foreign investors.

(150 Words)

- Dividend Distribution Tax (DDT) is the tax imposed by the government on domestic companies which pay dividend to their investors.
- Budget 2020 has proposed to abolish DDT on dividends paid by the corporates and transfer the tax burden completely in the hands of the recipient.

IMPACT OF ABOLITION

▪ **SMALL RETAIL INVESTORS**

- ✓ Positive for small tax payers.
- ✓ Tax burden of individuals in lower tax slabs increases marginally.
- ✓ Increases the dividend received in the hands of tax payer but those under higher tax slabs get higher tax burden.

▪ **PROMOTERS**

- ✓ Promoters who have migrated their shareholding to a trust structure to get impacted negatively
- ✓ Tax burden of Indian promoters increases

■ FOREIGN INVESTORS

- ✓ Foreign Portfolio Investors (FPIs) structured as corporates can choose the benefit of tax treaties.
- ✓ NRI investors and FPIs structured as non-corporates will need to pay taxes at their slab rates.
- ✓ Multinationals and foreign companies receiving dividends from their Indian subsidiaries can claim credit for taxes paid on dividends received in India when assessed for corporate tax back home.

CONCLUSION

The promoter dominant faction of India Inc, may skimp on dividends and explore buy backs from next fiscal. Promoters migrated to trust structure should reevaluate their strategy.

The deficits in Union Budgets do not reflect the reality in its true sense. Do you agree?
Give valid arguments. (150 Words)

Deficits in union budget do not reflect accruals and off budget borrowings. This results in understating the deficits by delaying the payments.

ISSUES IN BUDGETING PROCESS

- Follows cash based accounting than accrual based accounting
 - ✓ Dues for fertilizer and food subsidy are not reflected.
 - ✓ Expenditure is recognized only when cash flows out of government coffers.
- Off-budget borrowings
 - ✓ Forces public sector enterprises to borrow for financing fiscal deficit.
 - ✓ Gives false impression of fiscal prudence.
 - ✓ Enormous amount was borrowed by Food Corporation of India, but not reimbursed by the central government.
 - ✓ CAG reports state high percentage of fiscal deficit to GDP ratio considering off budget borrowings.

CONCLUSION

India must shift from its current "Cash based accounting" system to "accrual based accounting" in which due payments are listed as spending and cannot be fudged by delaying payment. Fiscal deficit should be financed only by formal budget borrowings.



“The soul of an ordinary Indian lies with the Life Insurance Corporation of India (LIC)”. From this perspective, how do you view the Government’s decision to list and sell part of the stake in the LIC? Also examine the steps needed to achieve the Government target of disinvestment for 2020-21. (250 Words)

Budget 2020 proposes to sell part of government’s holding in Life Insurance Corporation (LIC) by initial public offering. But, the trust on LIC by an ordinary Indian comes from the sovereign guarantee of the government.

PROS AND CONS OF SELLING STAKE IN LIC



IAS MAINS 2020 - VALUE ADDITION



Government should tread continuously in LIC stake sale considering the sovereign guarantee given by government to policy holders.

STEPS NEEDED TO ACHIEVE DISINVESTMENT TARGET FOR 2020-21

- Government in Budget 2020 pegged disinvestment targets at 2.1 lakh crore. This needs:
 - ✓ Selling of part government stake in LIC.
 - ✓ Selling balance holding of government in IDBI bank.
 - ✓ Monetization of unused lands under PSEs.
 - ✓ Auctioning of coal blocks.
 - ✓ Auctioning of telecom spectrum.
 - ✓ Disinvestments through Air India sale.
 - ✓ Share buy backs through PSEs.
 - ✓ Opening up exchange traded funds in equities and bonds.

CONCLUSION

There is a need to achieve fiscal prudence and efficient functioning of PSEs and securing employment by the government apart from realizing the disinvestment target. Analyzing the trends of 2019-20, the disinvestment target may fall short in achieving it resulting in fiscal slippage.



43 / EIA
GS - IV

Explain the way innovation helps the public service delivery in various dimensions.
(250 Words)

Innovation implies finding better solutions to problems. It also means finding better mechanisms of doing things. Innovation has become a value rather than an occurrence in public service delivery because innovation is being preferred by the Government and citizens over status quo.

Learning Space

Innovation in public service delivery should be in the following dimensions:

- **Interface of public with the government (as in the tendering of applications, seeking clarifications, redressal of public grievances)**

Innovation should focus on the ways and means of ensuring that public is:

- Not put to hassles
- Able to give application or get grievance redressal quickly without delay
- Informed about the status of dealing of their application or grievance.



■ Preparation of government machinery for the delivery of public service.

Innovation, in this dimension, should focus on ensuring that the government machinery:

- Can deliver services to as many citizens as possible at the same time with minimal turnaround time from citizen to citizen
- Can identify the credentials of beneficiaries and ensure that the service reaches only the deserving citizen
- Has monitoring mechanism to assess the performance of various agencies or government servants involved in public service delivery.
- Has the ability to hear grievances from public and redress them instantly. There should be a channel for citizens to get further clarifications about the redress.
- Maintains and manages proper databases about the beneficiaries of public service delivery.

■ Mode of public service delivery

Innovation, in this dimension, would include the following:

- Ensuring that the citizen has minimal interference with government in receiving the service
- Ensuring that the citizen has to spend minimal efforts to avail the service. To elaborate, ensuring that services are delivered at doorsteps of the citizen
- Ensuring that the mode of service delivery costs the least in terms of both money and time.

CONCLUSION

Thus, the present-day public service demands that there should be innovation in every sphere such that public receive Government services quickly, at cheaper cost and without hassles.



Critically examine the ethical aspects of sin industries. (150 Words)

Ethical dilemma in sin industry like tobacco, alcohol, porn etc. is the dilemma between profit and social responsibilities.

The existence of private institutions engaged on these products is itself an ethical dilemma.

- They are ethical because of following reasons:
 - They provide jobs and hence help members of society find livelihood for themselves and their families
 - They pay taxes (sometimes more than normal taxes) and help Government fund socio-economic development programs.
 - They flash warnings about the ill-effects of using their products and they are not forcing anyone to consume their products. People consume it on their volition.
- It is unethical because of the following reasons:
 - Their products often affect the health of consumers, reducing the latter's quality of life.
 - Their contribution to society in terms of employment is nullified by the quality of lives they adversely affect.
 - Their attribution to GDP is nullified by the out-of-the-pocket health expenditure incurred by their consumers.



- This dilemma can be resolved in the following ways:
 - Continuously researching on and adoption of mechanisms that reduce the cost and at the same time serve the social responsibility as well.
 - Companies not getting greedy about unreasonable profit. The companies should be satisfied with reasonable profits and be ready to forego any additional profit in favour of social responsibility.
 - Sin industries should switch to better society-friendly and ethical products and close down their businesses.

How to strengthen moral values in independent regulators? (150 Words)

Regulators are supposed to be free from direct Government control. Here, regulators include the ones like RBI, SEBI, IRDS, PFRDA, Pollution Control Board and so on. Following things shall ensure morality in their functioning:

- Regulators should not have any interest in the activity that they are regulating
- Selection of members of governing bodies in these regulatory bodies should be transparent
- These members should not be allowed to work in the activity of their regulation post-demit-of-office.
- Regulation should be crisp, specific and as much automated as possible. To elaborate, PCB regulates air pollution. There should be sensors to check the air pollution caused by a specific unit. Otherwise, if PCB officials are made to certify pollution levels, there is likelihood that they demand bribe for the same.

CONCLUSION

Independent regulators with strong moral and ethical framework protect rule of law from being desecrated.



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